

E-Commerce Customer Segmentation Strategy (RFM Analysis)

Project Context Using a transactional e-commerce dataset of 4,338 unique customers, an RFM (Recency, Frequency, Monetary) analysis was conducted. Customers were algorithmically grouped into four distinct segments using K-Means clustering to optimize marketing spend and campaign targeting.

Segment 1: Champions

- **Profile:** Highest spenders, most frequent buyers, and most recent purchasers.
- **Campaign Target:** Loyalty Program & VIP Access.
- **Why:** These are high-lifetime-value (LTV) customers. They do not need heavy discounts to be incentivized to buy. Instead, reward them with early access to new products, exclusive webinars, or a VIP loyalty tier to make them feel valued and encourage brand advocacy.

Segment 2: At-Risk

- **Profile:** Solid historical spend and order volume, but have not made a purchase in nearly two months.
- **Campaign Target:** Aggressive "Win-Back" Campaign.
- **Why:** This segment has already proven they are willing to spend money with the brand, making them cheaper to re-engage than acquiring brand new customers. Send them highly personalized emails with a time-sensitive, high-value discount code (e.g., "We miss you! Here is 20% off your next order").

Segment 3: New / Promising

- **Profile:** Made a purchase recently, but have a low total order count and moderate spend.
- **Campaign Target:** Onboarding & Cross-Sell Campaign.
- **Why:** The goal here is to build a purchasing habit and increase their frequency. Send them automated post-purchase onboarding emails, product guides, and personalized cross-sell recommendations based on their initial purchase to drive that crucial second and third sale.

Segment 4: Lost

- **Profile:** Lowest spend, only one past purchase, and have been inactive for roughly 6 months.
- **Campaign Target:** Automated Drip / Minimal Spend.
- **Why:** The return on investment (ROI) for re-acquiring these users is very low. Do not waste expensive retargeting ad budgets on this segment. Keep them on a standard,

low-cost automated email newsletter drip, but prioritize marketing capital toward the Champions and At-Risk segments.